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(FEDERAL MARITIME COMMISSION)

FEDERAL MARITIME COMMISSION

WASHINGTON, D.C.

June 3, 1998

DOCKET NO. 89-26

THE GOVERNMENT OF THE TERRITORY OF GUAM, ET AL.

v.

SEA-LAND SERVICE, INC. AND
AMERICAN PRESIDENT LINES, LTD.

REQUEST FOR VIEWS AS TO PROCEDURE ON REMAND

On June 1, 1998, the Commission served its Report and Order in the above-entitled proceeding and, as pertinent here, remanded the proceeding to the undersigned with certain explanatory directions. The following are relevant quoted portions of the Report and Order:

Turning to the merits of the jurisdictional issues with respect to Sea-Land's West Coast - Guam service, we find that cargo which was tendered directly to Sea-Land by the shipper at the Sea-Land terminal is port-to-port cargo and is subject to the FMC's jurisdiction. . . .

While the legal principle is straightforward, its application to the facts here is less so. The number of Guam shipments which were tendered directly by shippers to Sea-Land at Sea-Land's terminals is in dispute. Sea-Land concedes that there were some such shipments but does not indicate how many. As discussed by Sea-Land in its Reply to Exceptions at 76 - 77, GovGuam's statistical study of shipments moving through Sea-Land container yards is flawed because it includes containers which were tendered to SMLF or Cal Cartage in addition to containers which were tendered by the shipper directly to Sea-Land. As discussed below, the Commission cannot reach the issue of the validity of Sea-Land's joint-through arrangements with SMLF and Cal Cartage. Therefore, those containers were not properly included. The Commission will remand the proceeding to the ALJ to permit GovGuam to quantify the port-to-port containers handled by Sea-Land after it withdrew from the Guam Rate Agreement [on June 22, 1989; see fn.3, p. 8] and to permit the named complainants to prove injury and damages as a consequence of Sea-Land's failure to file a tariff with the Commission covering the movement of port-to-port shipments in violation of section 2 of the 1933 Act, 46 U.S.C. App. § 844.²³ [*Id.*, 39-40.]

²³ In determining the measure of damages for failure to file a tariff, parties should be guided by prior Commission cases involving unfilled rates, including First Int'l Dev. Corp. v. Ship's Overseas Services, Inc., 23 F.M.C.47 (1980), rev'd on other grounds sub nom. Ship's Overseas Services, Inc. v. Federal Maritime Comm'n, 670 F.2d 304 (D.C. Cir. 1981). During the oral argument, the attorney for GovGuam suggested that the Commission should remand the proceeding to permit GovGuam to make a rate of return analysis of the port-to-port containers moved by Sea-Land after it withdrew from the Guam Rate Agreement. Given the relatively limited number of port-to-port containers moved by Sea-Land after it withdrew from the Guam Rate Agreement, we believe that a rate of return analysis would be inappropriate.

* * *

In order to determine whether any shipments handled by Sea-Land after June 21, 1989 [when Sea-Land withdrew from the Guam Rate Agreement; see fn. 3, p. 8], that involved inland transportation entirely within the port [of Apra in Guam] were subject to the Commission's jurisdiction, it is necessary to turn to the evidence relating to Sea-Land's Hawaii - Guam service. In 1993, Sea-Land entered into written division of revenue agreements with the Guam truckers it was using. From that point forward there is little doubt that joint-through arrangements existed and the Commission was deprived of jurisdiction. Prior to that time, the arrangement between Sea-Land and the Guam truckers was not as clear. The rate

schedules published by Sea-Land for the service do not show the Guam truckers as participating carriers. Although the consignee selected the particular trucker to be used, there is no evidence that the consignee was in privity of contract with the trucker. Guam truckers were paid by Sea-Land, not the shipper or consignee. Sea-Land had equipment interchange agreements with the truckers, but these did not contain a joint-through rate arrangement. In the event cargo was damaged during inland transportation in Guam, the shipper or consignee proceeded against Sea-Land, and Sea-Land, in turn, proceeded against the trucker. In sum, Sea-Land's Hawaii - Guam service prior to 1993 seems indistinguishable from the service provided in Matson. The Guam truckers were treated as subcontractors by Sea-Land. While it is beyond question that Sea-Land could have restructured its service to deprive the Commission of jurisdiction at any time, there is no evidence that it did so prior to 1993. Accordingly, the Commission had jurisdiction over any shipments handled in Sea-land's Hawaii-Guam service prior to the execution of the written division of revenue agreements in 1993 that involved inland transportation solely within the port of Apra in Guam. The Commission will remand the proceeding to the ALJ to permit the named Complainants to quantify the number of containers, if any, falling into this category, and to prove damages. [*Id.*, 44-46; footnote citation omitted.]

In sum, the Commission finds that the ALJ erred in failing to reach the issues involving jurisdiction over Sea-Land before addressing the merits of the case. With respect to such jurisdiction, the Commission rules that cargo tendered by shippers directly to Sea-Land at Sea-Land terminals is port-to-port and is subject to the Commission's jurisdiction. The proceeding is remanded for a determination of the number of containers that fall within this category. . . . Finally, the Commission finds that while it does not have jurisdiction over transportation between Hawaii and Guam that involved inland transportation beyond the port of Apra, it nevertheless does have jurisdiction over port-to-port cargo that did not move pursuant to a joint-through arrangement with a Guam motor carrier. the proceeding is remanded for a determination of the number of containers, if any, falling within this category. [*Id.*, 46.]

* * *

2. Conclusions Regarding Rates of Return

The Commission finds that the rates of return earned by APL in the FMC-regulated Guam trade during the years 1988, 1989, and 1990 as shown in Appendix 9, Rate of Return for APL, exceeded the allowable (benchmark) rates of return by the amounts shown in Appendix 10, APL's Excess Return Earned in the Guam Trade. The Commission also finds that the rates of

return earned by Sea-land in the FMC-regulated Guam trade during 1988 and the first six months of 1989 as shown in Appendix 9, Rate of Return for Sea-Land, exceeded the allowable rates of return shown in Appendix 10, Sea-Land's Excess Return Earned in the Guam Trade. Based on these findings, the proceeding is remanded to the ALJ for further proceedings to determine the amount of reparations which may be awarded to Complainants herein, consistent with our findings above as to the form of remedy available under section 22 of the 1916 Act. [*Id.*, 128.]

* * *

. . . The Commission has further decided to remand the proceeding to the ALJ for a determination of the reparations due Complainants, and to quantify the number of Sea-Land containers subject to the Commission's jurisdiction, as explained above. [*Id.*, 131.]

* * *

IT IS FURTHER ORDERED, That the proceeding is remanded to the Administrative Law Judge for a determination of the reparations due Complainants; [*Id.*, 132.]

IT IS FURTHER ORDERED, That the proceeding is also remanded to the Administrative Law Judge to quantify the number of Sea-Land containers subject to the Commission's jurisdiction and as to which reparations may be awarded to Complainants; [*Id.*, 132.]

* * *

FINALLY, IT IS ORDERED, That in accordance with Rule 61 of the Commission's Rules of Practice and Procedure, the Initial Decision on remand of the Administrative Law Judge shall be issued by December 4, 1998 and the final decision of the Commission shall be issued by April 5, 1999. [*Id.*, 132.]

In the circumstances the views of the parties will be solicited as to the most expeditious means for complying with the above-quoted directions of the Commission on remand.

IT IS ORDERED:

The parties are directed to file their views as to the appropriate procedure to be followed in order to resolve the issues presented in the remand of this proceeding by the Commission. These documents should be filed on or before July 6, 1998, or after disposition of a petition or petitions for reconsideration or other relief, including requests for extension of time, if one or more are filed with the Commission or after termination of final court review if that is sought.


Frederick M. Dolan, Jr.
Administrative Law Judge